

HOTEL MANAGEMENT AGREEMENT (EXCERPT – FEE PROVISIONS)

Between: Cascadia Hotel Owner LP ("Owner")
And: Meridian Hotel Management LLC ("Operator")
Property: The Harborline Hotel, 400 Waterfront Ave, Seattle, WA
Effective: January 1, 2023
Agreement Term: 15 years

NOTE: This is a fictional agreement created for demonstration. Clause wording is modeled on the structure of publicly filed hotel management agreements (SEC EDGAR exhibits) but all names, terms, and figures are invented.

ARTICLE 4 – MANAGEMENT FEES

4.1 BASE MANAGEMENT FEE.

Owner shall pay Operator a Base Management Fee equal to three percent (3.0%) of Total Operating Revenue for each fiscal month, as Total Operating Revenue is determined under the Uniform System of Accounts for the Lodging Industry (USALI), subject to the exclusions set forth in Section 4.3.

4.2 INCENTIVE MANAGEMENT FEE.

Owner shall pay Operator an Incentive Management Fee equal to ten percent (10.0%) of Gross Operating Profit ("GOP") for each fiscal month. GOP shall be determined in accordance with USALI and shall mean Total Operating Revenue less Total Departmental Expenses and Total Undistributed Operating Expenses. For the avoidance of doubt, GOP is calculated BEFORE deduction of management fees and does NOT include any Non-Operating Income or any revenue excluded under Section 4.3. The Incentive Management Fee shall be calculated on GOP as so defined, and not on Total Operating Revenue.

4.3 REVENUE EXCLUSIONS.

The following items shall be EXCLUDED from Total Operating Revenue and from Gross Operating Profit for all purposes of calculating fees under this Article 4:

- (a) proceeds of insurance of any kind, including business interruption and property insurance proceeds;
- (b) condemnation or eminent-domain awards;
- (c) cancellation, attrition, and no-show revenue, including banquet and group cancellation charges;
- (d) proceeds from the sale or disposition of capital assets;
- (e) gratuities and service charges collected on behalf of employees.

ARTICLE 5 – CENTRALIZED AND REIMBURSABLE SERVICES

5.1 CENTRALIZED SERVICES.

Operator may charge the Hotel, at actual cost and without mark-up, for centralized services (including reservations, revenue management, and shared accounting) reasonably allocated to the Hotel. Notwithstanding the foregoing, any centralized-services charge exceeding Ten Thousand Dollars (\$10,000) in any single fiscal month shall require Owner's PRIOR WRITTEN APPROVAL. Any charge exceeding that threshold without such approval shall be

e deemed unsupported and subject to reversal.

- 5.2 REIMBURSABLE EXPENSES.
Operator shall maintain supporting documentation (invoices and, where required, approvals) for all reimbursable and centralized charges and shall make such documentation available to Owner upon request.

ARTICLE 9 – REPORTING, RECORDS, AND AUDIT

- 9.1 MONTHLY REPORTING.
Operator shall deliver to Owner, within twenty (20) days after the end of each fiscal month, a USALI-format operating statement together with supporting departmental schedules.
- 9.2 AUDIT RIGHTS AND TRUE-UP.
Owner may audit Operator's fee calculations for any fiscal month within twelve (12) months after delivery of the applicable statement. Any overcharge or undercharge identified through such audit shall be corrected by true-up within thirty (30) days of Owner's written notice. Owner's audit rights for a given month expire twelve (12) months after that month's statement is delivered.